Morgan Stanley | RESEARCH

IDEA

July 23, 2026 04:58 AM GMT

Alphabet Inc. | North America

4 Learnings and 2 Catalysts

WHAT'S CHANGED		
Alphabet Inc. (GOOGL.O)	From	To
Price Target	$415.00	**$400.00**

GOOGL cloud showed the ROIC and GenAI capex/opportunities are getting larger. We have further color on TPU accounting and SPCX. But with EPS heading ~5% lower (investments outweigh revs), new products (Gemini 4 suite of models) and visibility into '28 (TPUs) key from here. $400PT has 20% upside.

We leave GOOGL EPS with 4 Notable Learnings and 2 Future Catalysts

1. Google Cloud: Rule of 118%...Faster, More Profitable and Durable Growth = GenAI ROIC Signal on Display: Google Cloud grew 82% y/y, beating our 77% y/y growth..as the company added $4.7bn Q/Q. Google Cloud profitability remains impressive, with a 54% incremental margin (vs. the 57% in 1Q) and 36% 2Q EBIT margin (we were at 35%). Google Cloud's backlog reached $514bn, up $52bn Q/Q, and was 7% above us. This backlog gives us further confidence in durable multi-year growth ahead. Big picture, we continue to view hyperscaler revenue growth and EBIT margins as the cleanest near-term signals on GenAI investment ROIC. **As a read across to AWS**, in an investment world where relative share matters, this level of growth will put extra tactical pressure on AWS to deliver (our 34% y/y AWS growth implies ~$4bn of sequential net revenue growth). That said, we would remind investors that AWS' larger contribution from API-driven revenue (with net accounting) and TPU sales make this comparison somewhat noisy.

2. GenAI Capex and Opportunities Both Getting Larger: GOOGL modestly raised its '26 capex (raising it by $15bn at the top end to $205bn). This was driven by an acceleration in delivery of capacity (more compute) and not component inflation. We model GOOGL's capex to increase to $375bn in '27 as it invests for future capacity to come…notably the '28 TPUs and GPUs. ***Please let us know if interested in our bottom up cost per GW and capacity build for GOOGL and the hyperscalers***. While spend continues to ramp, management's tone about the multitude of GenAI opportunities across enterprise and consumer and the fact that they are more bullish now than 1 year ago about the opportunities ahead (combined with their disciplined budgeting) speaks to the still under-appreciated GOOGL forward growth in years to come.

3. A Little TPU Accounting Debit and Credit Confirmation: While we didn't learn anything about '28 and that TPU opportunity (see below) we did get confirmation of our accounting debit and credit assumptions, with GOOGL purchasing TPUs and the system of components (racks, etc.) building in inventory over time. Gross TPU sales are registered in the backlog and flow through revenue within Google Cloud as they are sold. GOOGL is not licensing the technology but rather building inventory and selling it with a gross margin. While 2Q included a small amount of TPU third party

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Alphabet Inc. (GOOGL.O, GOOGL US)	
Internet | United States of America	
Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	**$400.00**
Shr price, close (Jul 22, 2026)	$342.09
Mkt cap, curr (mm)	$4,192,380
52-Week Range	$408.61-187.46

sales, we continue to think the majority of TPU sales (~3.5GW) will hit in '27…with another ~4GW estimated in '28. ***Please let us know if interested in our TPU or updated GOOGL Cloud backlog files.***

4. GOOGL's $50/Watt Deal with SPCX Further Explained…Apple and Labs Causing A Further Surge in Demand?: In work here we analyzed GOOGL's rental agreement with SPCX for an estimated $50/watt. We now know this was to service "very large cloud customers" where short-term rental costs may be high, but the lifetime value of the relationships are "highly ROI positive." Given the upcoming launch of the Gemini-powered Siri AI this fall and private labs that are customers of GCP continuing to train new models, it's safe to say there are multiple explanations for GOOGL's surging near-term capacity needs. AAPL is covered by Erik Woodring. On the cost side, we are incorporating the SPCX deal into our model and adding ~ $1bn/~$3bn of opex in 3Q /4Q based on the deal's September start date and rate of $920mn/month . In '27 we model an additional ~$3bn of opex in 1Q, but assume that GOOGL will take its earliest opportunity to terminate the contract (as either party may cancel with 90 days notice after December 31). Even GOOGL management's comments about this being a 6 month deal speak to how the company is likely to opt out once they bring on their own, substantially less expensive, compute capacity.

2 Catalysts

Gemini 4 Suite of Models and Accelerated Go to Market: We believe GOOGL needs to deliver its Gemini 3.5 Pro and Gemini 4 suite of models (including efficient, low-cost models) to re-assure investors that it will remain on the frontier. We remain confident GOOGL will…but admittedly don't know when the models are coming. That said, **management's comments about being focused on staying on the frontier and increasing the cadence of model shipping as we reach Gemini 4 (monthly) is notable.**

'28 TPU Opportunity Still Under-Appreciated: While we learned some color on TPU accounting as detailed in Diving into '28 Compute Capacity, TPU Sales and Revenue to Come, we continue to think GOOGL's '28 TPU opportunity is under appreciated and that investors underestimate **1)** the capex needed and **2)** the upside to revenue from hosted cloud/third party TPU sales. While we still don't know the revenue per GW or margin, our base model assumes GOOGL sells each GW of TPU racks for $20/watt (or a 20% gross margin). This is admittedly an assumption we continue to try analyze and try to learn more about.

Lower '27 EPS by 7% as Investment Outweighs Revenue, PT to $400, Remain OW: Updating our model, we raise '26/'27 capex by 8%/7%. We now model $375bn of capex in '27. We are also incorporating the SPCX deal into '26/'27. In all, our '27/'28 EPS falls by 7%/5% as higher investment outweighs faster revenue growth. Notably, our model assumes GOOGL will raise $80bn of debt between now and the end of '27. We remain OW ($400 PT has 20% upside) but believe model launches/ innovation or more visibility into long-term growth ('28 and beyond) will be important to driving outperformance.

Exhibit 1: Our new $400 PT implies a 24x multiple on an average of our $15/$18 EPS in '27/'28….

GOOGL Valuation	Bear	Base	Bull
'27/'28 Avg. EPS	$15.18	$16.62	$17.52
(X) P/E	15X	24X	26X
(=) Price Per Share	**$225**	**$400**	**$450**
% upside/(downside)	(33%)	20%	35%
Implied P/E on '27 EPS	15X	27X	30X
Implied P/E on '28 EPS	12X	22X	25X

Source: Company data, Morgan Stanley Research

Exhibit 2: … and implies a ~30% premium to peers on a growth adjusted basis (vs. the ~10% premium that GOOGL currently trades at)

Peer Set	Share Price	'28 EPS	'25-'28 EPS CAGR	'28 P/E	'28 PEG
AAPL	$326	$11	10%	29x	2.8x
MSFT	$390	$27	14%	15x	1.1x
META	$627	$33	9%	19x	2.0x
AMZN	$245	$15	20%	16x	0.8x
NFLX	$69	$4	15%	15x	1.0x
Peer Median			**14%**	**16x**	**1.2x**

GOOGL @ Current Share Price	Share Price	'28 EPS	'25-'28 EPS CAGR	'28 P/E	'28 PEG
GOOGL	**$333**	**$18.2**	**14%**	**18x**	**1.3x**
Premium/(Discount) vs. Median				**13%**	**11%**

GOOGL @ $400 PT	Share Price	'28 EPS	'25-'28 EPS CAGR	'28 P/E	'28 PEG
GOOGL	**$400**	**$18.2**	**14%**	**22x**	**1.6x**
Premium/(Discount) vs. Median				**35%**	**33%**

Source: Company data, Morgan Stanley Research

Changes to Our Estimates

Exhibit 3: Changes to our GOOGL estimates

	2026 Prior	2027 Prior	2028 Prior	2026 Current	2027 Current	2028 Current	2026 Revision	2027 Revision	2028 Revision
Total Gross revenue (GAAP)	**497,283.6**	**650,119.0**	**782,949.4**	**500,610.9**	**653,470.7**	**793,581.8**	**0.7%**	**0.5%**	**1.4%**
Traffic acquisition costs (TAC)	**65,702.9**	**70,981.9**	**75,371.5**	**65,567.3**	**70,315.9**	**75,049.4**	**-0.2%**	**-0.9%**	**-0.4%**
TAC as % of advertising revenue	19.7%	19.4%	19.1%	19.6%	19.4%	19.1%	0.0%	0.0%	0.0%
Total Net revenue	**431,580.7**	**579,137.0**	**707,578.0**	**435,043.7**	**583,154.8**	**718,532.4**	**0.8%**	**0.7%**	**1.5%**
Other cost of revenue (ex-TAC, ex-SBC)	121,879.3	180,643.9	231,645.7	125,230.1	198,462.1	255,299.0	2.7%	9.9%	10.2%
Gross profit (GAAP)	**304,738.6**	**392,811.8**	**469,495.4**	**304,646.7**	**378,980.8**	**456,981.6**	**0.0%**	**-3.5%**	**-2.7%**
Gross margin	70.6%	67.8%	66.4%	70.0%	65.0%	63.6%			
Total costs & expenses (GAAP)	**316,622.6**	**408,202.8**	**493,768.3**	**324,215.6**	**426,009.6**	**512,699.8**	**2.4%**	**4.4%**	**3.8%**
Total operating expenses (Non-GAAP)	**124,077.6**	**150,895.7**	**180,314.3**	**128,251.4**	**151,519.8**	**176,099.6**	**3.4%**	**0.4%**	**-2.3%**
Research and development (ex-SBC)	60,207.8	80,275.0	102,323.9	60,713.9	80,900.7	99,681.5	0.8%	0.8%	-2.6%
Sales and marketing (ex-SBC)	26,685.6	28,747.8	31,231.8	27,487.1	28,779.9	31,149.9	3.0%	0.1%	-0.3%
General and administrative (ex-SBC)	13,357.4	14,620.8	15,882.2	15,225.9	14,450.1	15,289.8	14.0%	-1.2%	-3.7%
Stock-based compensation	28,789.5	32,933.3	37,313.3	29,991.3	33,100.9	36,230.2	4.2%	0.5%	-2.9%
Depreciation	34,539.8	70,221.8	117,636.6	34,069.4	74,108.9	124,665.4	-1.4%	5.5%	6.0%
Non-recurring items	0.0	0.0	0.0	0.0	0.0	0.0	--	--	--
EBITDA (adjusted)	**245,262**	**346,781**	**444,233**	**241,667**	**337,106**	**441,880**	**-1.5%**	**-2.8%**	**-0.5%**
EBITDA margin (adjusted)	**56.8%**	**59.9%**	**62.8%**	**55.6%**	**57.8%**	**61.5%**	-1.3%	-2.1%	-1.3%
Incremental EBITDA margin	79.1%	68.8%	75.9%	72.2%	64.4%	77.4%	-6.9%	-4.4%	1.5%
Total operating income (GAAP)	**180,661**	**241,916**	**289,181**	**176,395**	**227,461**	**280,882**	**-2.4%**	**-6.0%**	**-2.9%**
Total operating income margin (GAAP)	**36.3%**	**37.2%**	**36.9%**	**35.2%**	**34.8%**	**35.4%**	-1.1%	-2.4%	-1.5%
Other income/(expense), net (GAAP)	40,039.5	1,280.6	(2,594.5)	135,399.7	(2,171.2)	(8,057.7)	238.2%	-269.5%	210.6%
Pretax income (GAAP)	**220,700.5**	**243,196.8**	**286,586.6**	**311,795.0**	**225,289.8**	**272,824.3**	**41.3%**	**-7.4%**	**-4.8%**
Income tax expense (GAAP)	37,760.2	38,911.5	46,956.8	56,694.8	36,046.4	44,941.4	50.1%	-7.4%	-4.3%
Tax rate (GAAP)	17.1%	16.0%	16.4%	18.2%	16.0%	16.5%	107 bp	0 bp	9 bp
Net income (reported GAAP)	**182,940.4**	**204,285.3**	**239,629.8**	**255,100.2**	**189,243.5**	**227,883.0**	39.4%	-7.4%	-4.9%
Net income (GAAP), continuing ops	182,940.4	204,285.3	239,629.8	255,100.2	189,243.5	227,883.0	39.4%	-7.4%	-4.9%
EPS (GAAP)	**$14.80**	**$16.30**	**$19.12**	**$20.62**	**$15.08**	**$18.16**	**39.4%**	**-7.5%**	**-5.0%**
Basic shares	12,227.5	12,399.7	12,397.8	12,221.3	12,399.7	12,397.8	0.0%	0.0%	0.0%
Diluted shares	12,361.8	12,536.0	12,534.0	12,369.6	12,550.8	12,548.8	0.1%	0.1%	0.1%
Free Cash Flow	20,659.9	(33,366.0)	23,164.6	(11,545.2)	(67,956.2)	(9,140.3)	-155.9%	103.7%	-139.5%
Free Cash Flow per Share	$1.67	($2.66)	$1.85	($0.93)	($5.41)	($0.73)	-155.8%	103.4%	-139.4%
Capex	$189,596.00	$349,846.00	$374,846.00	$204,996.00	$375,046.00	$400,046.00	8.1%	7.2%	6.7%

Source: Company data, Morgan Stanley Research

Results vs. Morgan Stanley Estimates

Exhibit 4: GOOGL 2Q26 results vs MS estimates

GOOGL

Actuals versus Estimates ($ in millions)

	Actual vs. Estimate			
	2Q2026		Variance	
	Actual	Estimate	Absolute	Percent
Total Gross revenue (GAAP)	**119,796.0**	**117,443.8**	**2,352.2**	**2.0%**
Google Search & Other	63,271.0	63,633.3	(362.3)	-0.6%
YouTube Ads	11,055.0	10,779.1	275.9	2.6%
Google properties	74,326.0	74,412.4	(86.4)	-0.1%
% Y/Y ex-FX growth	15.1%	13.1%	2.0%	
Gross Google Network websites	7,303.0	7,181.8	121.2	1.7%
% Y/Y ex-FX growth	-2.4%	-7.6%	5.1%	
Gross Other revenue (Google + Other Bets)	38,061.0	35,899.7	2,161.3	6.0%
Traffic acquisition costs (TAC)	16,179.0	16,243.1	(64.1)	-0.4%
TAC as % of advertising revenue	19.8%	19.9%	(9) bp	
Total Net revenue	**103,617.0**	**101,200.7**	**2,416.3**	**2.4%**
Other cost of revenue (ex-TAC, ex-SBC)	28,414.0	28,985.2	(571.2)	-2.0%
% of Revenue	27%	29%	(122) bp	
Gross profit (GAAP)	**73,853.0**	**71,059.8**	**2,793.2**	**3.9%**
Gross margin	71.3%	70.2%	106bp	
Total costs & expenses (GAAP)	**79,026.0**	**75,584.4**	**3,441.6**	**4.6%**
Total operating expenses (GAAP)	**33,083.0**	**29,200.4**	**3,882.6**	**13.3%**
Research and development (ex-SBC)	14,306.7	13,953.0	353.7	2.5%
Sales and marketing (ex-SBC)	7,143.0	6,402.9	740.1	11.6%
General and administrative (ex-SBC)	5,026.3	3,188.5	1,837.8	57.6%
Stock-based compensation	7,957.0	6,811.7	1,145.3	16.8%
Non-recurring items	0.0	0.0	0.0	NA
Depreciation	7,104.0	7,814.1	(710.1)	-9.1%
EBITDA (adjusted)	**55,831.0**	**56,908.0**	**(1,077.0)**	**-1.9%**
EBITDA margin (adjusted)	**53.9%**	**56.2%**	-235bp	**—**
Total operating income (GAAP)	**40,770.0**	**41,859.4**	**(1,089.4)**	**-2.6%**
Total operating income margin (GAAP)	**34.0%**	**35.6%**	**-1.609%**	**-4.5%**
Total operating income (non-GAAP)	48,727.0	48,671.2	55.8	0.1%
Total operating income margin (non-GAAP)	40.7%	41.4%	-77bp	—
Other income/(expense), net (GAAP)	97,983.0	566.1	97,416.9	17209.2%
Pretax income (GAAP)	**138,753.0**	**42,425.5**	**96,327.5**	**227.1%**
Income tax expense (GAAP)	26,560.0	6,788.1	19,771.9	291.3%
Tax rate (GAAP)	19.1%	16.0%	314bp	
Tax rate (Non-GAAP)	19.6%	17.6%	201bp	
Net income (reported GAAP)	**112,193.0**	**35,637.4**	**76,555.6**	**214.8%**
Net income (GAAP), Continuing ops	112,193.0	35,637.4	76,555.6	214.8%
EPS (GAAP)	**$9.11**	**$2.90**	**$6.22**	**214.5%**
EPS (non-GAAP)	$9.58	$3.30	$6.28	190.5%
Basic shares	12,151.0	12,175.4	(24.4)	-0.2%
Diluted shares	12,309.0	12,298.0	11.0	0.1%
Free Cash Flow	(5,855.0)	(4,744.4)	(1,110.6)	NA
FCF per Share	(0.48)	(0.39)	(0.1)	NA
Capex	44,924.0	41,574.0	3,350.0	8.1%

Source: Company data, Morgan Stanley Research

Risk Reward – Alphabet Inc. (GOOGL.O)

Alphabet Inc.

PRICE TARGET $400.00

Our $415 PT is based on applying a ~24X P/E multiple to the average of our $15/$18 EPS in '27/'28, and implies paying ~1.6X PEG, a ~35% premium to GOOGL's peer median.

Consensus Price Target Distribution $220.00 — $423.08 — MS PT — $515.00

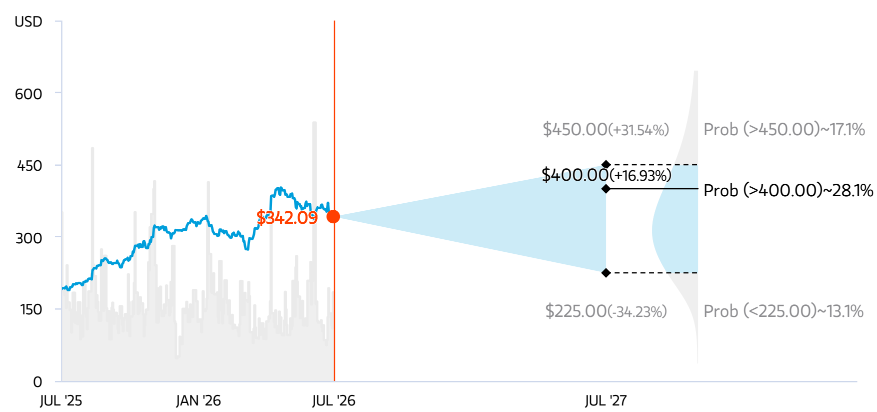
◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Continued AI-driven platform-level innovation on Search, YouTube, Cloud, and with other offerings improve confidence in the durability of long term growth.
- Continued expense discipline leads to operating leverage and upward revisions on EPS and FCF estimates.

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 22 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology here

Consensus Rating Distribution

87%	Overweight
13%	Equal-weight
0%	Underweight

● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*
New Data Era: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE $450.00

~26X Avg. '27/'28 Bull Case EPS of ~$16/~$19

Faster innovation and Search/GCP acceleration lead to multiple expansion and higher earnings power. Search revenue accelerates as AI-driven innovation delivers meaningful upside to engagement. New AI offerings prove incremental to the top and bottom line and don't cannibalize core Search. YouTube and Cloud become even bigger contributors to top-line growth, and operate at a higher margin than in our base case.

BASE CASE $400.00

~24X Avg. '27/'28 Base Case EPS of ~$15/~$18

Assumes pragmatic search revenue growth in '26, continued incremental platform monetization and Google Cloud acceleration in '26. As GOOGL continues platform-level innovation on Search and other categories, we assume pragmatic revenue/EBITDA growth. GOOGL introduces new AI offerings which increase confidence in the durability of long term growth and calm fears around competition. Google Cloud accelerates driven by new partnerships and growing backlog.

BEAR CASE $225.00

~15X Avg. '27/'28 Bear Case EPS of ~$14/~$16

Global ad growth slows further and margins face pressure. Assumes slower search advertising growth, and that ad spending slows further. Expense discipline fails to materialize leading to lower than expected margin expansion and adj. EBITDA. New AI products create greater than expected margin pressure due to lower monetization rates and increased compute intensity.

Risk Reward – Alphabet Inc. (GOOGL.O)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Total operating income (GAAP) ($, mm)	129,039	176,395	227,461	280,882
GAAP Operating Income (Loss) ($, mm)	137,054	183,870	234,661	287,432

INVESTMENT DRIVERS

- Search advertising spend continues to gain share of global advertising budgets.
- Mobile search advertising continues to take share of online budgets.
- Investments in video driving longer-term monetization at YouTube.
- Moderation of expense growth.

GLOBAL REVENUE EXPOSURE

0-10%	APAC, ex Japan, Mainland China and India
0-10%	India
0-10%	Japan
0-10%	Latin America
0-10%	MEA
0-10%	UK
10-20%	Europe ex UK
40-50%	North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

4/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- New products generate higher than expected top line contribution.
- Capital returns through greater share buybacks.
- Hiring and/or spend per headcount is lower than expected.

RISKS TO DOWNSIDE

- High exposure to SMB and travel could pressure ad revenue in a recession
- Improved disclosure around the Google and Other Alphabet segments may not decrease the overall investment activity of the business.

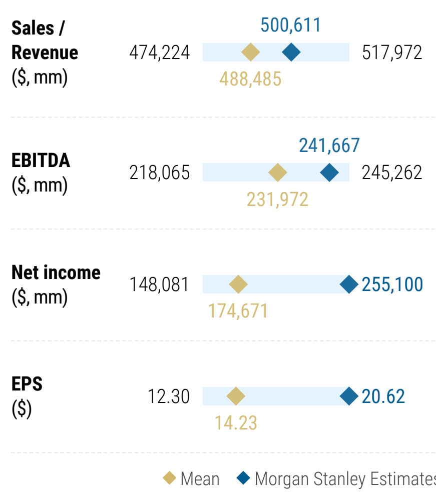
OWNERSHIP POSITIONING

Inst. Owners, % Active	55.9%
HF Sector Long/Short Ratio	2.6x
HF Sector Net Exposure	12.3%

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Financials

Exhibit 5: GOOGL Income Statement

Morgan Stanley | Google Income Statement (USD millions)	2025	2026E	2027E	2028E	25-'28 CAGR
Gross revenue build (GAAP)					
Total Alphabet revenue	**$402,836.0**	**$500,610.9**	**$653,470.7**	**$793,581.8**	**25%**
Total Advertising	294,691.0	333,853.5	362,775.1	393,077.3	10%
Google Websites	264,899.0	304,702.9	334,148.4	364,872.7	11%
Network Websites	29,792.0	29,150.7	28,626.7	28,204.6	-2%
Google Other & Other Bets	108,272.0	166,631.4	290,295.5	400,104.4	55%
Hedging gains (losses)	(127.0)	126.0	400.0	400.0	
Total Gross revenue (GAAP)	**402,836.0**	**500,610.9**	**653,470.7**	**793,581.8**	**25%**
Total cost of revenue (GAAP)	**162,535.0**	**195,964.2**	**274,489.9**	**336,600.2**	**27%**
Total gross profit (GAAP)	**240,301.0**	**304,646.7**	**378,980.8**	**456,981.6**	**24%**
Total gross margin (GAAP)	59.7%	60.9%	58.0%	57.6%	
Traffic acquisition costs (TAC)	**59,926.0**	**65,567.3**	**70,315.9**	**75,049.4**	8%
TAC as % of advertising revenue	20.3%	19.6%	19.4%	19.1%	
Total Net revenue (ex-TAC)	**342,910.0**	**435,043.7**	**583,154.8**	**718,532.4**	**28%**
Total operating expenses (GAAP)	**111,262.0**	**128,251.4**	**151,519.8**	**176,099.6**	**17%**
Research and development (ex-SBC)	48,778.6	60,713.9	80,900.7	99,681.5	27%
Sales and marketing (ex-SBC)	24,679.9	27,487.1	28,779.9	31,149.9	8%
General and administrative (ex-SBC)	17,157.6	15,225.9	14,450.1	15,289.8	-4%
Stock-based compensation (including COGS)	24,953.0	29,991.3	33,100.9	36,230.2	13%
Non-recurring items	0.0	0.0	0.0	0.0	
Depreciation (included in expense lines)	21,136.0	34,069.4	74,108.9	124,665.4	81%
Total amortization of intangibles (included in expense lines)	0.0	1,211.1	2,435.0	102.0	
Total costs & operating expenses (GAAP)	**273,797.0**	**324,215.6**	**426,009.6**	**512,699.8**	**23%**
Total costs & operating expenses (adjusted)	248,844.0	294,224.3	392,908.8	476,469.6	
Total operating income (GAAP)	**129,039.0**	**176,395.3**	**227,461.0**	**280,882.0**	**30%**
Total operating margin (GAAP)	32.0%	35.2%	34.8%	35.4%	
Total operating income, non-GAAP	**153,992.0**	**206,386.6**	**260,561.9**	**317,112.2**	
Total operating margin (adjusted)	38.2%	41.2%	39.9%	40.0%	
EBITDA (adjusted)	**175,128.0**	**241,667.2**	**337,105.8**	**441,879.5**	**36%**
EBITDA margin	51.1%	55.6%	57.8%	61.5%	
Incremental EBITDA margin	51.6%	72.2%	64.4%	77.4%	
Interest and other income, net	**29,787.0**	**135,399.7**	**(2,171.2)**	**(8,057.7)**	
Interest income	4,337.0	6,251.4	7,673.4	5,897.3	
Interest expense	(736.0)	(5,230.7)	(9,204.6)	(13,315.0)	
Foreign currency exchange losses, net	(382.0)	(334.0)	(640.0)	(640.0)	
Gain (loss) on marketable securities, net	24,620.0	135,803.0	0.0	0.0	
Other	(16.0)	(1,090.0)	0.0	0.0	
Other income (expense), net	1,964.0	0.0	0.0	0.0	
Interest and other income, net	29,787.0	135,399.7	(2,171.2)	(8,057.7)	
Pre-tax income (GAAP)	**158,826.0**	**311,795.0**	**225,289.8**	**272,824.3**	
Income tax provision (GAAP)	**26,656.0**	**56,694.8**	**36,046.4**	**44,941.4**	
Tax rate (GAAP)	**16.8%**	**18.2%**	**16.0%**	**16.5%**	
Net income (GAAP), continuing ops	**132,170.0**	**255,100.2**	**189,243.5**	**227,883.0**	
Net income (loss) from discontinued ops	0.0	0.0	0.0	0.0	
Net income, reported	**132,170.0**	**255,100.2**	**189,243.5**	**227,883.0**	**20%**
EPS (GAAP), from continuing ops	**$10.81**	**$20.62**	**$15.08**	**$18.16**	
EPS (GAAP) as reported	**$10.81**	**$20.62**	**$15.08**	**$18.16**	**19%**

Source: Company data, Morgan Stanley Research

Exhibit 6: GOOGL Balance Sheet

Morgan Stanley | Google Balance Sheet				
(USD millions)	**2025**	**2026E**	**2027E**	**2028E**
Assets:				
Cash & Cash Equivalents	30,708.0	114,854.8	67,938.4	23,539.7
Marketable securities	96,135.0	176,563.0	176,563.0	176,563.0
Accounts receivable	62,886.0	81,030.3	108,904.1	133,202.3
Receivable under reverse repurchase agreements	0.0	0.0	0.0	0.0
Deferred income taxes	0.0	0.0	0.0	0.0
Income taxes receivables	0.0	0.0	0.0	0.0
Prepaid revenue share, expenses and other assets	16,309.0	19,602.6	25,237.0	30,885.3
Total Current Assets	**206,038.0**	**392,050.7**	**378,642.5**	**364,190.2**
Prepaid revenue share, expenses and other assets, non-current	24,334.0	17,142.0	11,142.0	11,142.0
Deferred income taxes, non-current	0.0	0.0	0.0	0.0
Non-marketable equity securities	68,687.0	131,461.0	131,461.0	131,461.0
Property and equipment	246,597.0	425,126.6	726,063.7	1,001,444.3
Intangible assets	5,614.5	31,839.5	29,654.5	29,802.5
Goodwill	44,010.5	73,843.4	74,093.4	74,343.4
Total Assets	**595,281.0**	**1,071,463.1**	**1,351,057.1**	**1,612,383.4**
Liabilities:	**0.0**	**0.0**	**0.0**	**0.0**
Accounts Payable	12,200.0	17,180.6	24,729.5	32,510.7
Short-term debt	0.0	25,000.0	80,000.0	80,000.0
Accrued compensation and benefits	17,546.0	21,089.4	26,894.3	32,367.1
Accrued expenses and other current liabilities	55,557.0	66,402.1	84,679.5	99,604.0
Accrued revenue share	10,864.0	12,407.2	15,750.6	18,955.8
Securities lending payable	0.0	0.0	0.0	0.0
Deferred revenue	6,578.0	7,154.0	7,154.0	7,154.0
Income taxes payable	0.0	0.0	0.0	0.0
Total Current Liabilities	**102,745.0**	**149,233.2**	**239,207.9**	**270,591.6**
Long-Term Debt	46,547.0	98,165.0	98,165.0	98,165.0
Deferred revenue, non-current	0.0	0.0	0.0	0.0
Income taxes payable, non-current	9,531.0	2,051.3	2,786.5	3,374.5
Other Long-Term Liabilities	21,193.0	45,921.0	45,921.0	45,921.0
Total Liabilities	**180,016.0**	**295,370.6**	**386,080.4**	**418,052.0**
Shareholders' Equity:	**0.0**	**0.0**	**0.0**	**0.0**
Preferred Equity	0.0	0.0	0.0	0.0
Common Equity	93,126.0	204,677.3	237,778.2	274,008.4
Deferred stock-based compensation	0.0	0.0	0.0	0.0
AOC Income / (Loss)	(1,916.0)	(2,285.0)	(2,285.0)	(2,285.0)
Retained Earnings	324,055.0	573,700.2	729,483.5	922,608.0
Total Shareholders' Equity	**415,265.0**	**776,092.5**	**964,976.7**	**1,194,331.4**
Total Liabilities & Shareholders' Equity	**595,281.0**	**1,071,463.1**	**1,351,057.1**	**1,612,383.4**

Source: Company data, Morgan Stanley Research

Exhibit 7: GOOGL Cash Flow Statement

Morgan Stanley | Google Cash Flow Statement				
(USD millions)	**2025**	**2026E**	**2027E**	**2028E**
Operating Cash Flow:				
Net Income	132,170.0	255,100.2	189,243.5	227,883.0
Depreciation & Amortization of PP&E	21,136.0	34,069.4	74,108.9	124,665.4
Amortization of intangible and other assets	0.0	1,211.1	2,435.0	102.0
Stock-Based Compensation	24,953.0	29,991.3	33,100.9	36,230.2
Excess tax benefit from stock-based award activity	0.0	0.0	0.0	0.0
Deferred Income Taxes	8,348.0	29,538.0	6,000.0	0.0
Other	(22,512.0)	(132,642.0)	0.0	0.0
Funds from Operations (FFO)	**164,095.0**	**217,268.1**	**304,888.2**	**388,880.5**
Changes in Working Capital:				
Accounts receivable	(8,525.0)	(25,455.3)	(27,873.8)	(24,298.1)
Income taxes	(3,226.0)	(950.7)	735.2	587.9
Prepaid revenue share, expenses and other assets	(4,542.0)	1,279.4	(5,634.5)	(5,648.3)
Accounts payable	(544.0)	(987.4)	7,548.9	7,781.2
Accrued expenses and other liabilities	14,136.0	(300.5)	24,082.3	20,397.4
Accrued revenue share	899.0	2,092.2	3,343.5	3,205.1
Deferred revenue	2,420.0	505.0	0.0	0.0
Changes in Working Capital	**618.0**	**(23,817.3)**	**2,201.6**	**2,025.2**
Operating Cash Flow	**164,713.0**	**193,450.8**	**307,089.8**	**390,905.7**
Investing Cash Flow:	**0.0%**	**0.0%**	**0.0%**	**0.0%**
Capex	(91,447.0)	(204,996.0)	(375,046.0)	(400,046.0)
Purchase of marketable securities	(103,773.0)	(76,480.0)	0.0	0.0
Maturities and sales of marketable securities	83,240.0	76,696.0	0.0	0.0
Investments in non-marketable equity securities	(4,349.0)	761.0	0.0	0.0
Cash collateral received from securities lending	0.0	0.0	0.0	0.0
Investments in reverse repurchase agreements	0.0	0.0	0.0	0.0
Acquisitions, net of cash acquired, and purchases of intangible and othe	(3,962.0)	(56,451.0)	(500.0)	(500.0)
Investing Cash Flow	**(120,291.0)**	**(260,470.0)**	**(375,546.0)**	**(400,546.0)**
Financing Cash Flow:	**0.0**	**0.0**	**0.0**	**0.0**
Net payments related to stock-based award activities	(14,167.0)	(12,056.0)	0.0	0.0
Net proceeds from a public stock offering	0.0	40,000.0	0.0	0.0
Excess tax benefit from stock-based award activities	0.0	0.0	0.0	0.0
Repurchase of common stock in connection with acquisitions	0.0	0.0	0.0	0.0
Repurchase of common stock	(45,709.0)	0.0	(33,460.2)	(34,758.5)
Proceeds from issuance of debt, net of costs	64,564.0	81,226.0	55,000.0	0.0
Repayment of debt	(32,026.0)	44,692.0	0.0	0.0
Cash dividend payments	(10,050.0)	(2,542.0)	0.0	0.0
Other	0.0	0.0	0.0	0.0
Financing Cash Flow	**(37,388.0)**	**151,320.0**	**21,539.8**	**(34,758.5)**
Effects of FX	208.0	(154.0)	0.0	0.0
Beginning Cash	23,466.0	30,708.0	114,854.8	67,938.4
(+/-) Net Changes in Cash	7,242.0	84,146.8	(46,916.4)	(44,398.7)
(+/-) Restatements / Adjustments (pre-10-Q / K)	0.0	0.0	0.0	0.0
Ending Cash	**30,708.0**	**114,854.8**	**67,938.4**	**23,539.7**

Source: Company data, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of June 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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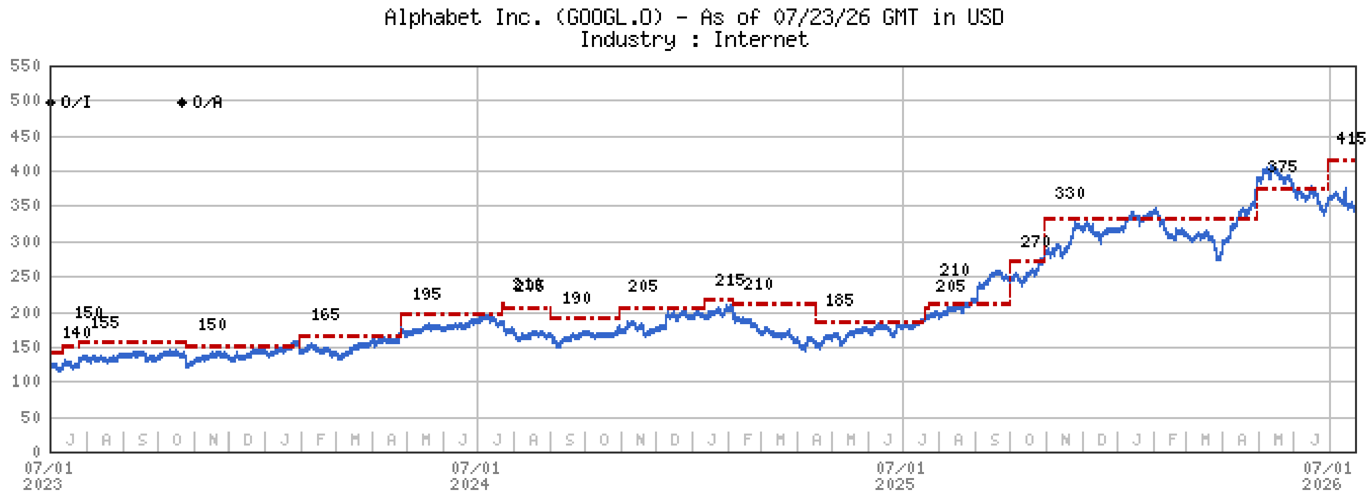
Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 7/1/21 : O/I; 10/22/23 : O/A

Price Target History: 4/28/21 : 128.75; 7/27/21 : 150; 11/1/21 : 160; 1/19/22 : 171.5; 2/2/22 : 172.5; 4/27/22 : 163.5; 5/31/22 : 150; 7/18/22 : 140; 7/27/22 : 145; 10/9/22 : 135; 10/26/22 : 125; 11/14/22 : 120; 1/17/23 : 125; 2/3/23 : 135; 4/25/23 : 140; 7/12/23 : 150; 7/26/23 : 155; 10/25/23 : 150; 1/31/24 : 165; 4/26/24 : 195; 7/22/24 : 210; 7/24/24 : 205; 9/2/24 : 190; 10/30/24 : 205; 1/12/25 : 215; 2/5/25 : 210; 4/16/25 : 185; 7/20/25 : 205; 7/23/25 : 210; 10/1/25 : 270; 10/30/25 : 330; 4/30/26 : 375; 6/29/26 : 415

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
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INDUSTRY COVERAGE: Internet

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/22/2026)
Brian Nowak, CFA		
Airbnb Inc (ABNB.O)	U (12/06/2022)	$140.05
Alphabet Inc. (GOOGL.O)	O (08/11/2015)	$342.09
Amazon.com Inc (AMZN.O)	O (04/24/2015)	$244.85
Booking Holdings Inc (BKNG.O)	O (02/23/2026)	$177.86
DoorDash Inc (DASH.O)	O (02/21/2024)	$177.73
Expedia Inc. (EXPE.O)	E (01/09/2019)	$261.08
Instacart (CART.O)	E (01/29/2024)	$44.73
Lyft Inc (LYFT.O)	E (10/24/2019)	$14.66
Meta Platforms Inc (META.O)	O (03/20/2023)	$627.17
Pinterest Inc (PINS.N)	O (07/20/2025)	$22.54
Reddit Inc (RDDT.N)	O (12/08/2024)	$170.38
Snap Inc. (SNAP.N)	E (07/22/2024)	$4.47
Uber Technologies Inc (UBER.N)	++	$70.33
Matthew Cost		
AppLovin Corp (APP.O)	O (04/10/2025)	$412.48
Compass, Inc. (COMP.N)	E (01/12/2026)	$11.26
Criteo SA (CRTO.O)	E (01/26/2016)	$21.05
DoubleVerify Holdings Inc (DV.N)	E (06/25/2024)	$10.89
Electronic Arts Inc (EA.O)	E (08/04/2021)	$208.95
Liftoff Mobile Inc. (LFTO.O)	E (06/29/2026)	$22.34
MNTN Inc (MNTN.N)	E (06/16/2025)	$8.57
Opendoor Technologies Inc (OPEN.O)	E (07/24/2023)	$4.38
Playtika Holding Corp (PLTK.O)	E (11/27/2022)	$3.82
Roblox Corporation (RBLX.N)	O (11/04/2024)	$49.64
Shutterstock Inc (SSTK.N)	E (07/28/2022)	$7.38
Take-Two Interactive Software (TTWO.O)	O (02/01/2018)	$233.58
Trade Desk Inc (TTD.O)	E (09/10/2025)	$17.58

Unity Software Inc (U.N)	O (09/02/2024)	$29.27
Webtoon Entertainment Inc (WBTN.O)	E (07/22/2024)	$9.43
Yelp Inc (YELP.N)	U (01/10/2019)	$24.81
Zillow Group Inc (Z.O)	E (04/18/2018)	$31.36
Nathan Feather		
Bumble Inc. (BMBL.O)	E (03/08/2021)	$2.81
Chewy Inc (CHWY.N)	O (10/31/2023)	$21.52
Duolingo Inc (DUOL.O)	E (02/27/2026)	$119.51
eBay Inc (EBAY.O)	O (04/18/2024)	$110.95
Etsy Inc (ETSY.N)	E (07/20/2025)	$80.48
FIGS, Inc. (FIGS.N)	E (02/29/2024)	$9.92
Grindr Inc. (GRND.N)	O (07/01/2026)	$14.50
Match Group Inc (MTCH.O)	E (04/18/2024)	$38.03
Peloton Interactive, Inc. (PTON.O)	E (03/14/2022)	$6.26
Revolve Group Inc (RVLV.N)	E (10/20/2024)	$25.37
WW International Inc (WW.O)	E (08/01/2025)	$14.75

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* Historical prices are not split adjusted.